

Tata AI Legal Intelligence

Executive Compliance & Risk Assessment Report | Job ID: eda019e9-1fb5-4707-8991-928a5ba024ad

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Extracted Clauses & Risk Matrix

#1: CONFIDENTIALITY & COMPLIANCE	Risk: LOW
Text: Each party agrees to protect the other's Confidential Information with the same degree of care it uses to protect its own similar confidential information, but in no event less than a reasonable degree of care. Confidential Information shall not be disclosed to any third party and shall only be used for the purposes of performing obligations under this Agreement. Rationale: - The clause aligns with the Tata Enterprise Data Protection & NDA Standard (POL-IND-2026-01) by imposing a clear duty of care and restricting use solely to the performance of the agreement. - It establishes a standard obligation to protect proprietary information from unauthorized third-party disclosure. - However, a Compliance Officer should verify if specific data categories (like personal data) require enhanced security measures under the policy.	
#2: INDEMNIFICATION & LIABILITY	Risk: MEDIUM
Text: In no event shall either party be liable to the other for any indirect, incidental, special, punitive, or consequential damages. Each party's maximum aggregate liability under this Agreement shall be limited to the total amount paid by the Customer in the twelve (12) months preceding the claim. Rationale: - The 12-month fee cap aligns with the general risk-mitigation principles of the Liability Capping & Indemnity Policy (RISK-CAP-99). - However, it presents a risk because it fails to carve out critical exceptions from the liability cap, such as intellectual property indemnification, gross negligence, or breaches of confidentiality. - To fully comply with RISK-CAP-99, the clause must be amended to exclude these high-risk areas from the cap limit.	
#3: GOVERNING LAW & JURISDICTION	Risk: HIGH
Text: This Agreement shall be governed by, and construed in accordance with, the laws of the State of New York, without regard to its principles of conflicts of law. The parties agree that any dispute arising out of or in connection with this Agreement shall be subject to the exclusive jurisdiction of the courts of New York. Rationale: - This clause directly conflicts with the Standard Corporate Jurisdiction Guidelines (LAW-CORP-882) which mandate Indian Law (with Mumbai jurisdiction) for domestic contracts. - For international transactions, the policy permits English or Singapore law, but strongly discourages US jurisdictions like New York due to high litigation costs and potential exposure to jury trials. - Compliance requires renegotiating the governing law to Indian or English Law to minimize legal risk.	